UNIT 2

ACCOUNTS OF NOT–FOR–PROFIT ORGANISATION

Contents

2.1 Introduction
2.2 Features of not–for–profit organisations
2.3 Receipts and Payments Account
2.4 Items peculiar to not–for–profit organisations
2.5 Income and Expenditure Account
2.6 Balance Sheet

Points to recall

The following points are to be recalled before learning the accounts of not–for–profit organisation:

- Capital expenditure
- Revenue expenditure
- Deferred revenue expenditure
- Capital receipt
- Revenue receipt
- Final accounts of sole proprietors

Learning objectives

To enable the students to

- Understand the features of not–for–profit organisation
- Understand the accounting treatment of items peculiar to not–for–profit organisation
- Prepare final accounts of not–for–profit organisation

Key terms to know

- Not–for–profit organisation
- Receipts and payments account
- Income and expenditure account

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